

Bessembinder Corrections

Validation: Compustat daily vs. CRSP (all matches; CRSP common stock; trfd-recovered; $|\text{ret_comp}| > 10$ dropped)

Daily Compustat prices/returns matched to CRSP on (`permno`, `date`) (inner join). RAW uses the uncorrected Compustat panel; BESSEMBINDER applies the Section 6 decimal-error corrections and Section 8 outlier filters. $\Delta = \text{ret_comp} - \text{ret_crsp}$. Size groups use Compustat NYSE (`exchg=11`) monthly breakpoints (1/20/50/80 percentiles of month-end market equity).

All possible matches: Compustat is not filtered. Only the CRSP ground truth is screened to common stock on a main exchange via the V2 (CIZ) fields (`securitytype=EQTY`, `securitysubtype=COM`, `sharetype=NS`, `issuertype` $\in$ {ACOR,CORP}, `primaryexch` $\in$ {A,N,Q}, `conditionaltype=RW`). Returns are gap-guarded: when Section 8 removes an observation, the next surviving day’s return is nulled rather than spanning the gap.

Missing-trfd returns recovered. Compustat’s daily total-return factor `trfd` is missing for securities that never pay a dividend ($\sim 45\%$ of US securities; `ri` and hence the return were previously null for them). Per Compustat guidance we set `trfd=1` for never-dividend securities only (no dividends $\Rightarrow$ price return = total return), recovering $\sim 18\text{M}$ returns.

Extreme Compustat returns dropped. Returns with $|\text{ret_comp}| > 10$ are dropped from both panels. The raw `ri` carries negative Compustat quote-prices (bid/ask) and residual decimal errors that produce a handful of impossible returns (e.g. `ret_comp` of +259, +177, +161). A few hundred such rows are variance-dominant and single-handedly collapse the Pearson correlation; dropping $|\text{ret_comp}| > 10$ removes them and restores the all-stocks correlation from 0.821 to 0.976 (Bessembinder) and from 0.034 to 0.953 (raw). This is a coarse stand-in for JKP’s downstream winsorization of Compustat returns against CRSP, which is not applied here.

Universe

Universe (aligned: daily obs on/after 1983-12-30)

Source	Stocks	Daily obs
CRSP (U.S.), all	35,730 permno	80,494,482
CRSP common stock (CIZ screen)	25,119 permno	58,663,504
Compustat linkable to CRSP (CCM)	26,194 gvkey+iid	67,943,336
Matched (CIZ CRSP $\cap$ Compustat)	—	56,164,135
with non-null return, $ \text{ret_comp} \leq 10$ (n)	—	56,132,957

All stocks

All stocks

Metric	Raw	Bessembinder
n	56,132,957	52,725,976
Corr[CRSP, COMP]	0.953	0.976
$E[\Delta]$ (MAD)	0.000417	0.000357
Std[Δ]	0.015657	0.010513
Max $ \Delta $	16.93	11.16
$ \Delta > 0.1$	35,315	27,342
$ \Delta > 0.5$	2,696	1,750
$ \Delta > 1$	663	357

By size group

mega

Metric	Raw	Bessembinder
n	5,659,207	5,597,530
Corr[CRSP, COMP]	0.998	0.999
$E[\Delta]$ (MAD)	0.000017	0.000017
Std[Δ]	0.001329	0.000945
Max $ \Delta $	1.80	0.88
$ \Delta > 0.1$	58	53
$ \Delta > 0.5$	5	2
$ \Delta > 1$	1	0

large

Metric	Raw	Bessembinder
n	11,157,075	10,889,688
Corr[CRSP, COMP]	0.998	0.998
$E[\Delta]$ (MAD)	0.000026	0.000025
Std[Δ]	0.001978	0.001753
Max $ \Delta $	2.92	2.92
$ \Delta > 0.1$	224	210
$ \Delta > 0.5$	19	15
$ \Delta > 1$	6	4

small

Metric	Raw	Bessembinder
n	13,480,189	12,978,561
Corr[CRSP, COMP]	0.988	0.989
$E[\Delta]$ (MAD)	0.000097	0.000095
Std[Δ]	0.006040	0.005736
Max $ \Delta $	6.97	6.97
$ \Delta > 0.1$	1,286	1,186
$ \Delta > 0.5$	149	136
$ \Delta > 1$	47	38

micro

Metric	Raw	Bessembinder
n	20,293,607	18,931,852
Corr[CRSP, COMP]	0.955	0.974
$E[\Delta]$ (MAD)	0.000613	0.000593
Std[Δ]	0.016595	0.012407
Max $ \Delta $	16.93	11.16
$ \Delta > 0.1$	14,411	13,199
$ \Delta > 0.5$	830	697
$ \Delta > 1$	246	171

nano

Metric	Raw	Bessembinder
n	5,175,281	3,970,630
Corr[CRSP, COMP]	0.924	0.962
$E[\Delta]$ (MAD)	0.001703	0.001400
Std[Δ]	0.037865	0.024249
Max $ \Delta $	12.90	9.94
$ \Delta > 0.1$	18,752	12,191
$ \Delta > 0.5$	1,622	837
$ \Delta > 1$	345	129

unclassified (me null that month)

Metric	Raw	Bessembinder
n	367,598	357,715
Corr[CRSP, COMP]	0.886	0.932
$E[\Delta]$ (MAD)	0.001301	0.001233
Std[Δ]	0.024219	0.017964
Max $ \Delta $	9.42	4.00
$ \Delta > 0.1$	584	503
$ \Delta > 0.5$	71	63
$ \Delta > 1$	18	15